

INDIAN ECONOMY

LEVEL
II



LECTURES

- THE FSIB REPLACED BBB
- CONTROVERSY AROUND AT-1 BONDS
- INTERNATIONALISATION OF CURRENCY

MODULE - 28



New strategy

- FSIB subsumes Banks Board Bureau
- BBB assets, liabilities transferred to FSIB
- FSIB comprises 11 members, including the Chairperson
- FSIB includes ex-banker under the private sector category
- Door may open for private sector bank honchos to enter PSB, PSI and FI Boards

FINANCIAL SERVICES INSTITUTIONS BUREAU (FSIB) WAS CONSTITUTED IN JUNE 2022

- Financial Services Institutions Bureau was constituted by subsuming Banks Board Bureau. It is a single autonomous professional body.
- It will develop its own methodology to search and recommend high caliber persons for appointment as
 - ✓ Whole-Time Directors (WTDs)
 - ✓ Non-Executive Chairpersons (NECs)
 - ✓ to Public Sector Banks (PSBs), Public Sector Insurers (PSIs) and Financial Institutions (FIs).



LET US RECOLLECT THE BANKS BOARD BUREAU (BBB)!



The single entity FSIB covers Public Sector Banks, Insurers and Financial Institutions.

- The Centre had set up the BBB in April 2016 to select members for PSB boards.
- The Department of Financial Services (DFS) had subsequently extended the scope of the BBB to cover public sector insurers.
- However, there was a legal challenge to this, on grounds that the BBB should focus only on banks and had no legal mandate with regard to insurance.
- Court also said that the BBB cannot cover insurance sector appointments. Hence the Centre in June, 2022 overhauled the framework and introduced a single entity.

WHAT IS THE COMPOSITION OF FSIB?

- The FSIB has 11 persons, including the Chairperson, who will be nominated by the Centre.
- A former Secretary to the Department of Personnel & Training (DoPT) has been appointed the first Chairperson of FSIB for two years.
- Secretaries to the Department of Financial Services (DFS) and the Department of Public Enterprises and IRDAI Chairperson are members (ex-officio) of the FSIB.

- While three persons with subject matter knowledge relating to PSBs and FIs will be nominated as part-time members, three persons with subject matter knowledge relating to PSIs are to be nominated as part-time members on the insurance front.
- A Deputy Governor of the Reserve Bank of India will be an ex-officio member.

For each financial year, the funds are to be contributed by each of the three categories of Financial Service Institutions and would be shared in proportion to the total number of respective vacancies.

SALIENT FEATURES OF THE FSIB



MUCH MORE
THAN JUST THE
APPOINTMENTS!

4 It will also recommend a performance appraisal system for WTDs and NECs at PSBs, FIs and PSIs.

3 In addition to the recommendations to the appointment, it will also advise the Government on extension of terms and even termination of services of WTDs and NECs at the Financial Services Institutions.

1 It will recommend high caliber persons for appointment as Whole-Time Directors (WTDs) and Non-Executive Chairpersons (NECs) at Public Sector Banks (PSBs), Public Sector Insurers (PSIs) and Financial Institutions (FIs).

2 All assets, interests and liabilities of the BBB now stand transferred to the FSIB.



SALIENT FEATURES OF THE FSIB

9 Another important aspect is that it will advise the Government on evolving **training and development programmes** for management personnel in PSBs, Fls and PSIs.



8 The FSIB will advise the Government on the **desired management structure** at PSBs, Fls and PSIs.



5 It will also advise the Government on **formulation and enforcement of a code of conduct and ethics** for WTDs and NECs.

6 It will **build a databank** on the performance of PSBs, Fls and PSIs.

7 The FSIB will help PSBs, Fls and PSIs develop **business strategies and capital-raising plans**.



MUCH MORE
THAN JUST THE
APPOINTMENTS!

WHAT ARE AT-1 BONDS?

- These are unsecured, perpetual, high-risk bonds that banks issue to shore up their core capital base to meet the Basel-III norms.
- Banks can skip paying interest on these bonds, if their capital ratios fall below certain threshold level.
- They have no maturity date and they are not redeemable. They pay a steady stream of interest forever.
- Normally, they are not meant for retail investors and meant for institutions and smart investors, who can take risk.
- As the risk is high, they pay higher interest. If the bank is at the brink of collapse, these bonds can be written-off.

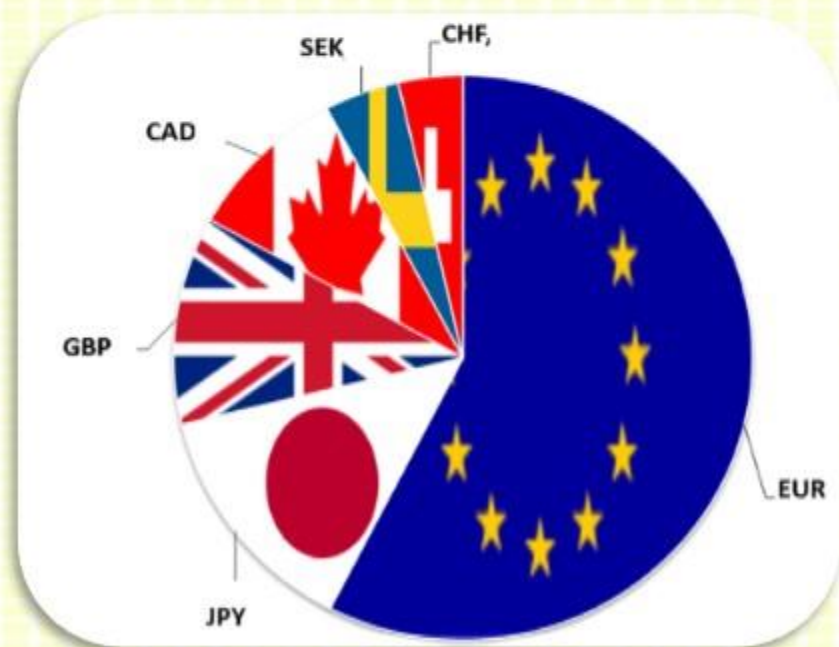
SEBI TIGHTENS REGULATIONS OF AT-1 BONDS

- Banks can issue only on electronic platform.
- Only institutional investors could subscribe to them.
- Minimum allotment size and trading lot size is Rs. 1 Cr.



RBI has got the absolute right, to direct a bank to write down the entire value of its outstanding AT-1 instruments/bonds, if it thinks the bank has passed the Point of Non-Viability (PONV), or requires a public sector capital infusion.

WHAT DO YOU KNOW ABOUT DOLLAR INDEX?



- The US Dollar Index was established by the Federal Reserve in 1973 after the dissolution of the Bretton Woods Agreement.
- It is used to measure the value of the dollar against a basket of six foreign currencies
 - ✓ The Euro
 - ✓ Swiss Franc
 - ✓ Japanese Yen
 - ✓ Canadian Dollar
 - ✓ British Pound
 - ✓ The Swedish Krona
- The value of the index is a fair indication of dollar's value in global markets.
- The largest component of the index is Euro making up around 57.6% of the basket, followed by Japanese Yen at 13.6%.

WHAT DO YOU UNDERSTAND BY THE INTERNATIONALISATION OF CURRENCY?



- An international currency is the one that is used instead of the national currencies of the parties directly involved in an international transaction.
- The transaction in question can be
 - ✓ Purchase of goods, services or financial assets.
 - ✓ Invoicing of the merchandise trade
 - ✓ Use of currency in capital market, both national as well as international, where foreign investors are the major players.



WHAT CONSTITUTES TRUE INTERNATIONALISATION OF ANY CURRENCY?

1. Removal of restrictions on buying and selling of domestic currency in both the spot and forward markets.
2. Domestic firms are able to invoice exports and imports in their own currency.
3. Foreign firms, financial institutions, government institutions and individuals are able to hold the country's currency and financial instruments.
4. Foreign firms and financial institutions, and government institutions are able to issue marketable instruments in the country's currency.
5. The country's own financial institutions and non-financial firms are able to issue foreign markets instruments denominated in their country's own currency.
6. International financial institutions, such as the World Bank and regional development banks, are able to issue debt instruments in a country's market and use its currency in their financial operations.



MINIMUM SOLVENCY RATIO OF 1.5 IS PRESCRIBED BY IRDAI

WHAT IS SOLVENCY RATIO?

- It is a critical metric for an insurance company.
- It is the size of the insurance company's capital in relation to the risk it takes, risk involves assets minus liabilities.
- It measures how financially sound an insurer is and its ability to settle claims.



EMBEDDED VALUE ALSO PERTAINS TO INSURANCE COMPANIES!

Embedded value is the sum of the net asset value and present value of the future profits of an insurance company.



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